

ERP Module: Finance and Accounting

I. Purpose

The Finance and Accounting Module records and manages all of the company's financial transactions. It tracks money coming in and going out, manages customer and supplier payments, and generates financial reports to help the business monitor its financial health and comply with accounting and tax regulations.

II. Module Functions:

- 1. General Ledger Management** – Acts as the central repository for all financial transactions, integrating data from all other ERP modules.
- 2. Accounts Payable** – Manages company's obligations to pay suppliers and vendors.
- 3. Accounts Receivable** – Handles money owed to the business by customers
- 4. Financial Reporting and Compliance** – Generates financial reports for management, stakeholders, and regulatory bodies.

Specific Functions:

1. General Ledger Management

- a. Record journal entries (debits and credits)
- b. Maintain a chart of accounts
- c. Generate trial balances and financial statements
- d. Support real-time financial reporting and consolidation

2. Accounts Payable

- a. Record incoming supplier invoices
- b. Match invoices with purchase orders and receipts
- c. Track due dates and schedule payments
- d. Handle payment processing and generate remittance advice

3. Accounts Receivable

- a. Generate customer invoices based on sales
- b. Record payments and apply them to invoices
- c. Monitor outstanding balances and aging reports
- d. Send automated payment reminders or dunning letters

4. Financial Reporting and Compliance

- a. Create income statements, balance sheets, and cash flow reports
- b. Perform budget vs. actual comparisons
- c. Automate tax calculations and reporting

III. Data Needed

Data	Source Module	Purpose
Sales Order	Sales	Create customer invoices and record sales revenue.
Product Price	Sales/Ecommerce	Calculate invoice totals, revenue, taxes, and journal entries.
Quantity Sold	Sales	Calculate total sales and reduce inventory value
Customer Info	Sales/Ecommerce	Create invoices and track Accounts Receivable.
Customer Payment	Sales/Ecommerce	Record received payments and update invoice status.
Payment Method	Sales/Ecommerce	Record payment details (GCash, Maya, Bank Transfer, etc.).
Payment Reference Number	Ecommerce	Verify and confirm customer payments.
Sales Discount	Sales & Customer Support	Calculate the correct sales revenue.
Sales Tax (Vat)	Sales & Customer Support	Record tax payable and generate tax reports.
Product Returns	Sales & Customer Support	Reverse revenue and process refunds
Purchase Order	Procurement	Verify supplier purchases before recording invoices.
Goods Receipt	Procurement/Inventory	Confirm items were received before approving payment.
Supplier Info	Procurement	Manage supplier payments and balances
Supplier Payment	Procurement	Record payment transactions and reduce Accounts Payable.
Inventory Stock	Inventory & Warehouse	Calculate inventory value

		and Cost of Goods Sold (COGS).
Product Cost	Inventory & Warehouse	Determine inventory value and product cost.
Stock-in Quantity	Inventory & Warehouse	Increase inventory assets in accounting records.
Stock-out Quantity	Inventory & Warehouse	Reduce inventory assets and record COGS.
Inventory Adjustment	Inventory & Warehouse	Record losses, damages, or corrections.
Shipping Cost	Supply Chain Management	Record logistics or transportation expenses.
Delivery Cost	Supply Chain Management	Record distribution expenses.
Freight Charges	Supply Chain Management	Include transportation costs in accounting records.
Refund Request	Customer Service	Process customer refunds.

IV. Data We Create

Data Provided	Destination Module	Purpose
Customer Invoice	Sales & Customer Support / E-Commerce	Shows the amount the customer needs to pay.
Invoice Status (Pending, Paid, Overdue)	Sales & Customer Support / E-Commerce	Lets the system know whether an order can proceed or is still awaiting payment.
Payment Confirmation	Sales & Customer Support / E-Commerce	Confirms that customer payment has been received successfully.
Customer Outstanding	Sales & Customer	Allows staff to view

Balance	Support	unpaid customer balances.
Customer Payment History	Sales & Customer Support / Customer Service	Helps customer support answer payment-related inquiries.
Supplier Payment Status	Procurement	Shows whether supplier invoices are unpaid, partially paid, or fully paid
Approved Supplier Payment	Procurement	Indicates Finance has approved and processed the payment.
Expense Reports	Supply Chain Management	Used to monitor transportation, shipping, and logistics costs.
Budget vs. Actual Report	Procurement / Supply Chain	Helps departments monitor whether spending is within budget.
Inventory Valuation	Inventory & Warehouse	Shows the current monetary value of inventory.
Cost of Goods Sold (COGS)	Inventory & Warehouse / Sales	Used to calculate product profitability and financial reports.
Financial Reports	Management (All Modules)	Provides Income Statement, Balance Sheet, Cash Flow Statement, etc
Tax Amount	Sales / E-Commerce	Lets support know whether a customer's refund has been approved or completed.
Journal Entry Reference	Other Modules (optional)	Provides a reference that a transaction has been posted to the General Ledger.

V. Data needed for every Submodules in Finance and Accounting

Finance Data	Specific Data Needed	Source
Chart of Accounts	Account Code, Account Name, Account Type (Asset, Liability, Equity, Revenue, Expense), Description, Status (Active/Inactive)	Created by finance
Journal Entries	Journal No., Date, Description, Reference No. (Order/PO), Total Debit, Total Credit, Status (Draft/Posted), Created By	Sales, Procurement, Inventory, Finance
Journal Entry Lines	Journal Entry No., Account Code, Debit Amount, Credit Amount, Remarks	Generated from Journal Entry
Accounts Payable	Supplier ID, Supplier Name, Invoice No., Purchase Order No., Invoice Amount, Due Date, Payment Status, Outstanding Balance	Procurement
Accounts Receivable	Customer ID, Customer Name, Invoice No., Sales Order No., Invoice Amount, Due Date, Payment Status, Outstanding Balance	Sales / E-Commerce
Payment Records	Payment ID, Invoice No., Customer/Supplier ID, Payment Date, Amount Paid, Payment Method, Payment Reference No., Payment Status	E-Commerce (customer), Procurement (supplier), Finance
Trial Balance	Account Code, Account Name, Total Debit, Total Credit	Generated from Journal Entries
Income Statement	Sales Revenue, Cost of	Created by finance

	Goods Sold (COGS), Operating Expenses, Other Income, Net Profit/Loss	
Balance Sheet	Cash, Accounts Receivable, Inventory, Fixed Assets, Accounts Payable, Loans, Owner's Equity, Retained Earnings	Created by finance
Cash Flow Statement	Cash from Operating Activities, Investing Activities, Financing Activities, Beginning Cash, Ending Cash	Created by finance
Tax Reports	Tax Type (VAT), Taxable Amount, Tax Rate, Tax Amount, Tax Period, Filing Status	Sales, Procurement, Finance